

Certified Financial Planner (CFP) An investment professional who has passed exams administered by the CFP Board of Standards on subjects such as taxes, securities, insurance, and estate planning.

Certified Public Accountant (CPA) An investment professional who is licensed by a state to practice public accounting.

Chartered Financial Analyst (CFA) An investment professional who has met competency standards in economics, securities, portfolio management, and financial accounting as determined by the Institute of Chartered Financial Analysts.

Closed-End Fund A mutual fund that has a fixed number of shares, usually listed on a major stock exchange.

Commodities Unprocessed goods, such as grains, metals, and minerals, traded in large amounts on a commodities exchange.

Consumer Price Index (CPI) A measure of the price change in consumer goods and services. The CPI is used to track the pace of inflation.

Correlation Coefficient A number between -1 and 1 that measures the degree to which two variables are linearly related.

Cost Basis The original cost of an investment. For tax purposes, the cost basis is subtracted from the sale price to determine any capital gain or loss.

Country Risk The possibility that political events (e.g., a war, national elections), financial problems (e.g., rising inflation, government default), or natural disasters (e.g., an earthquake, a poor harvest) will weaken a country's economy and cause investments in that country to decline.

Coupon/Coupon Rate The interest rate that a bond issuer promises to pay the bondholder until the bond matures.

Credit Rating A published ranking, based on a careful financial analysis, of a creditor's ability to pay the interest or principal owed on a debt.

Credit Risk The possibility that a bond issuer will fail to repay interest and principal in a timely manner. Also called *default risk*.

Currency Risk The possibility that returns for Americans investing in foreign securities could be reduced because of a rise in the value of the U.S. dollar compared to foreign currencies. Also called *exchange-rate risk*.